QUIZ

HOW SMART ARE YOU?

Are you ready for the retirement challenge? Find out if you are as smart as you think you are

BEGINNER

Q1. Which of the following is a consequence of inflation?



a) It increases the value of money in the future

b) It reduces the purchasing power of money

Q2. Life expectancy directly affects which aspect of the retirement goal?

a) Years in retirement

b) Monthly expenses in retirement

Q3. Contributions to EPF are mandatory for all employees



a) Yes

b) No

Q4. Which of these is a non-financial concern in retirement?

a) Finding interests to occupy time

b) Living on a tight budget

Q5. What is the most important factor to save for retirement?

a) Absence of social security

b) Choice of retirement products

Q6. Which of these expenses are likely to be higher in retirement?

a) Housing

b) Transportation

c) Personal needs

d) Health-related expenses

INTERMEDIATE

Q1. The NPS is?

a) New Pension System

b) National Pension Scheme

c) National Pension System

Q2. Retirement benefit in a Defined Contribution plan depends on?

a) The corpus accumulated in the scheme

b) The last drawn pay of the employee

Q3. PFRDA means?

a) Provident Fund Regulatory and Development Authority of India

b) Pension Fund Regulatory and Development Authority of India

Q4. Annuity is fully?

a) Tax free

b) Taxed at slab rates

Q5. What is the average retirement age in India?



a) 58 years

b) 60 years

c) 65 years

d) 70 years

Q6. Which of the following is true about retirement goal?

a) It has to be built out of own funds

b) It requires a large corpus

c) It is long-term in nature

d) All the above

EXPERT

Q1. The NPS is?

a) Defined benefit retirement plan

b) Defined contribution retirement plan

Q2. The NPS Tier 2 account is for tax savings?



a) Yes

b) No

Q3. Can you claim tax deduction beyond the Rs 1.5 lakh cap under 80C on NPS?

a) Yes

b) No

Q4. The tax-free amount you receive from private sector as gratuity is?



a) Rs 20 lakh

b) Rs 15 lakh

c) There is no limit

Q5. NPS Auto Choice offers?

a) Active asset allocation

b) No asset allocation

Q6. The maximum equity allocation in the NPS fund is?



a) 95%

b) 50%

c) 75%

d) 80%

Flip page to see answers

BEGINNER

1. b) It reduces the purchasing power of money
2. a) Years in retirement

3. b) No
4. a) Finding interests to occupy time
5. a) Absence of social security
6. d) Health related expenses

INTERMEDIATE

1. c) National Pension System
2. a) The corpus accumulated in the scheme

3. b) Pension Fund Regulatory and Development Authority of India
4. b) Taxed at slab rates
5. b) 60 years
6. d) All the above

EXPERT

1. b) Defined contribution retirement plan
2. b) No

3. a) Yes
4. a) Rs 20 lakh
5. a) Active asset allocation
6. c) 75%